

Chapter 9

Dhandho 202: Invest in Businesses with Durable Moats

As we saw in the barbershop arbitrage example, our barber is initially the only game in town. He is thus able to charge significantly more than the barbers in the neighboring towns and make supernormal profits. Capitalism is greed driven, and as barbers in the other towns get word of the spectacular opportunities in Town C, they rush to open up barbershops. Over time, the price to get a trim in Town C is no different from Town A or Town B.

Capitalists strive hard to capitalize on any opportunity to make outsized profits. The irony is that, in that pursuit, they usually destroy all outsized profits. But, every once in a while a business with a secret sauce for enduring outsized profits emerges. Take the example of one of my favorite restaurants, Chipotle. Whenever I go there, there is usually a line all the way to the door. In spite of the fact that there is this long line and I live in Southern California with a plethora of choices for Mexican food, I remain loyal to Chipotle. Why? Well, partly it's the fresh, high-quality ingredients, partly it's the tasty food, partly the ambiance, and partly the ability to precisely decide which ingredients I want and in what quantity.

All the other Mexican and fast-food restaurant owners in town are fully aware of the Chipotle phenomenon. They hate it and want to do something about it, but they can't—not easily anyway. It would be a significant uphill battle to replicate Chipotle. I'm sure many will try and eventually a few might succeed, but in the meanwhile Chipotle is likely to continue to thrive for years on end. When more players enter the market, they are likely to take customers away from other restaurants rather than Chipotle.

From a standing start just 13 years ago, Chipotle recently opened its 500th restaurant. It could easily grow 10 times or more from its present footprint, not to mention its enormous prospects overseas. Chipotle has a